recovery. I said that countries with sound monetary, budget and trade policies could better withstand any short term disruptions from our easing.'

The asymmetry in this dialogue was best captured by the following poser from an emerging-economy central bank governor to Bernanke in one of the G20 meetings. 'You know, Ben, when we formulate our monetary policy, we review not just our domestic macroeconomic situation, but also the global situation. In our policy documents, there is a section on the global economy, and in particular, on the outlook for advanced economies. Do you, when you make monetary policy for the US, similarly review the economic situation in the emerging world?' The answer was a sheepish silence.

Currency wars is an issue where consensus remains elusive.

Dollar as the World's Sole Reserve Currency

The second, almost regular, item on the G20 agenda was the position of the US dollar as the world's sole reserve currency. The risk to global financial stability because of the world depending on a single reserve currency became starkly evident during the global financial crisis.

As far as currency markets go, the aftermath of the crisis actually presented a bizarre situation. The United States was the epicentre of this huge crisis; its financial markets had seized up with deep anxiety and panic; several of its big-name financial institutions were on the brink of collapse and the US economy was headed into a deep recession. That should have sapped confidence in the dollar and the dollar should have plunged in value vis-à-vis other currencies as a consequence. Yet, exactly the opposite happened—the dollar actually appreciated.

The reason for this counter-intuitive surge in the dollar was not far to seek. As a result of the extreme uncertainty in financial markets following the Lehman collapse in September 2008, dollar investors around the world began withdrawing their investments to return to the safe haven of the US, in the process pushing up the dollar exchange rate. The flip side of this capital exodus was a severe dollar shortage everywhere outside the US